



Centum Investment Company Limited

Financial Results for the year ended 31 March 2011

7th June 2011

AGENDA

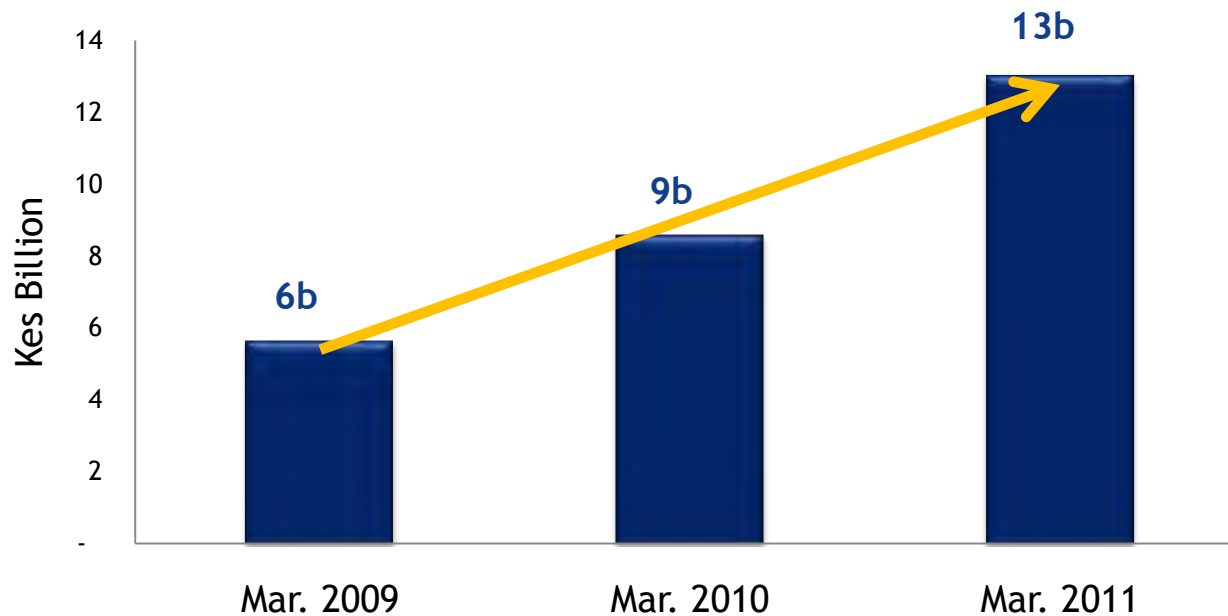
1. Overview
 2. Financial Performance
 3. Business Line Review
 4. Q & A
- 

1. Overview



1.1 Our Business

We are in the business of
growing our investors wealth

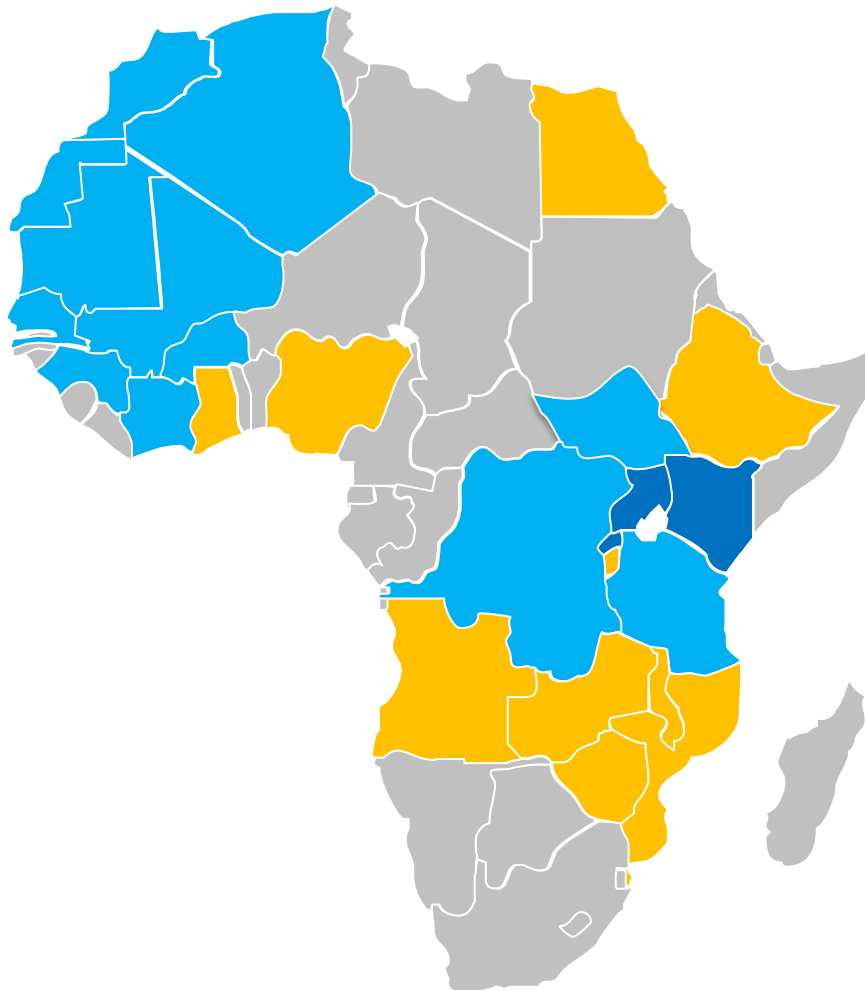


Growth in
market
capitalization
by 131 %

1.2 Our Promise

- | | | | |
|----------|-------------------------------|---|--|
| 1 | BRAND | ▶ | • Position Centum as Africa's foremost investment channel |
| 2 | FOCUS | ▶ | • Maintain focus through 3 distinct business lines |
| 3 | GROWTH | ▶ | • Grow assets under management to Kes. 30 billion by 2014 - including third party fund management |
| 4 | DIVERSI -
FICATION | ▶ | • Increase geographical diversification through pan African investments - target 50% of the portfolio to be outside Kenya by 2014 |
| 5 | PERFORMANCE | ▶ | • Active portfolio management to ensure consistent market beating returns - target portfolio returns in excess of 25% |

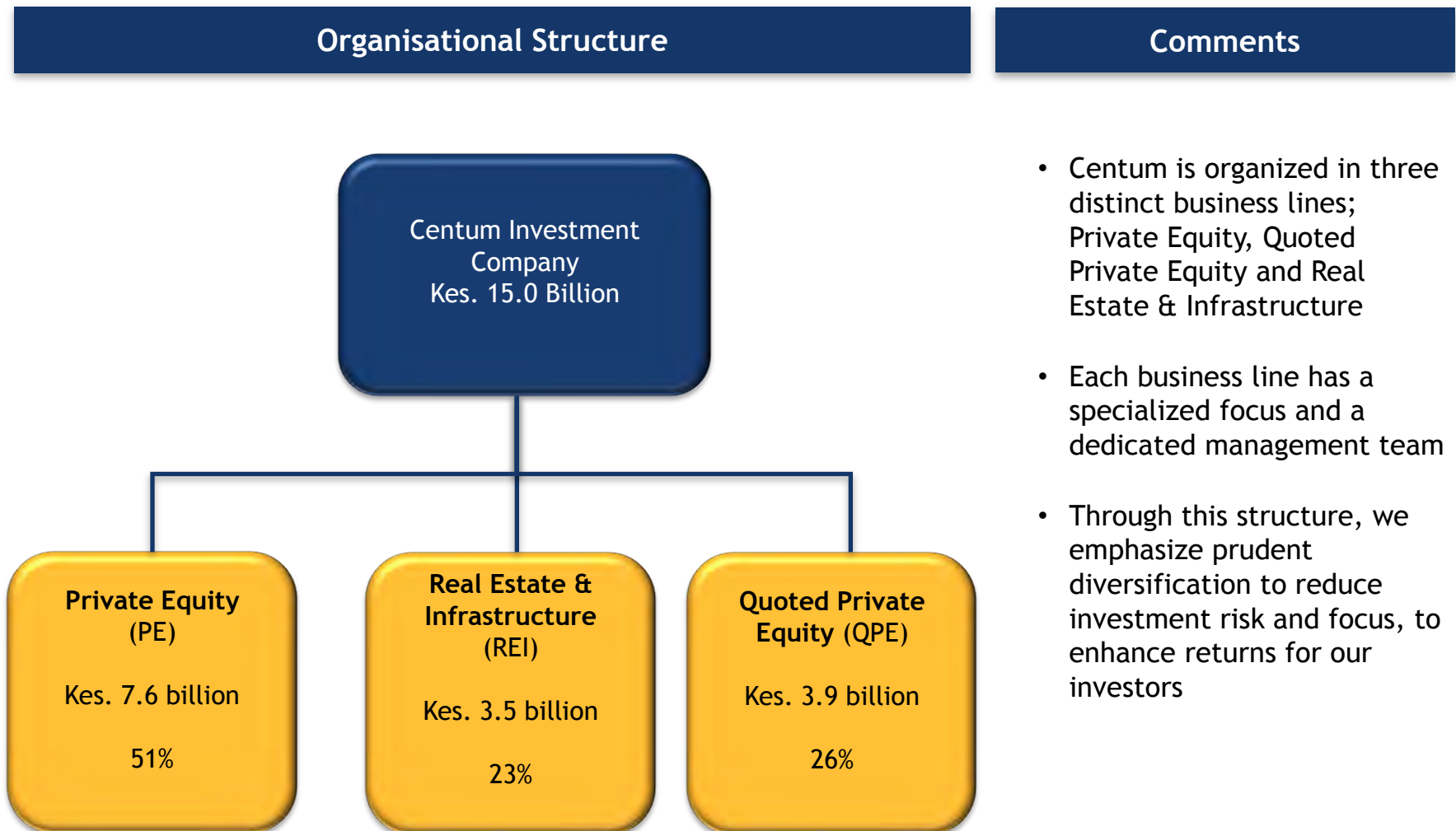
1.3 Our Brand



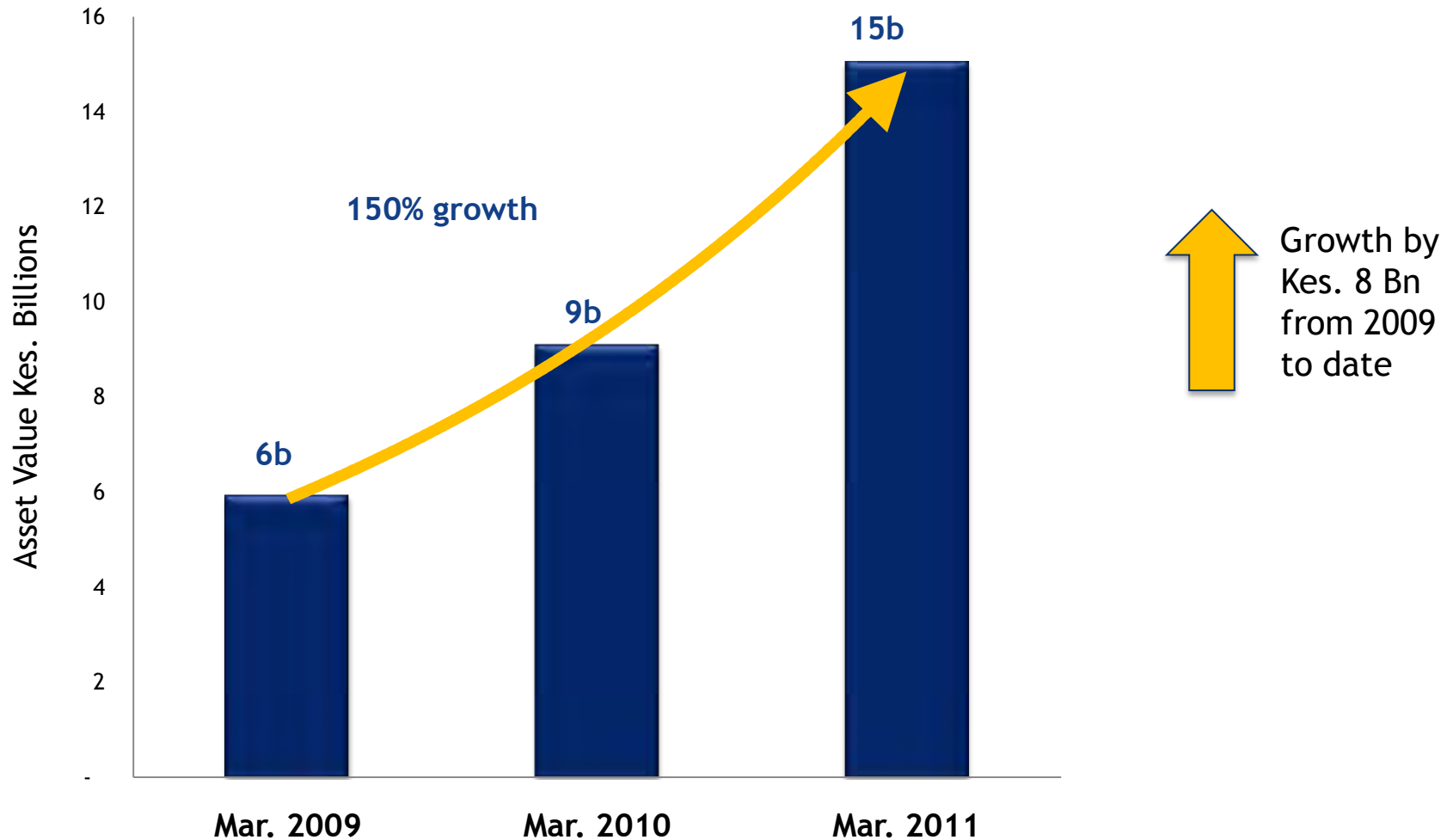
Increase geographical diversification through **Pan African** investments - target 50% of the portfolio to be outside Kenya by 2014

	Direct Presence
	Indirect presence
	Current target areas

1.4 Focus

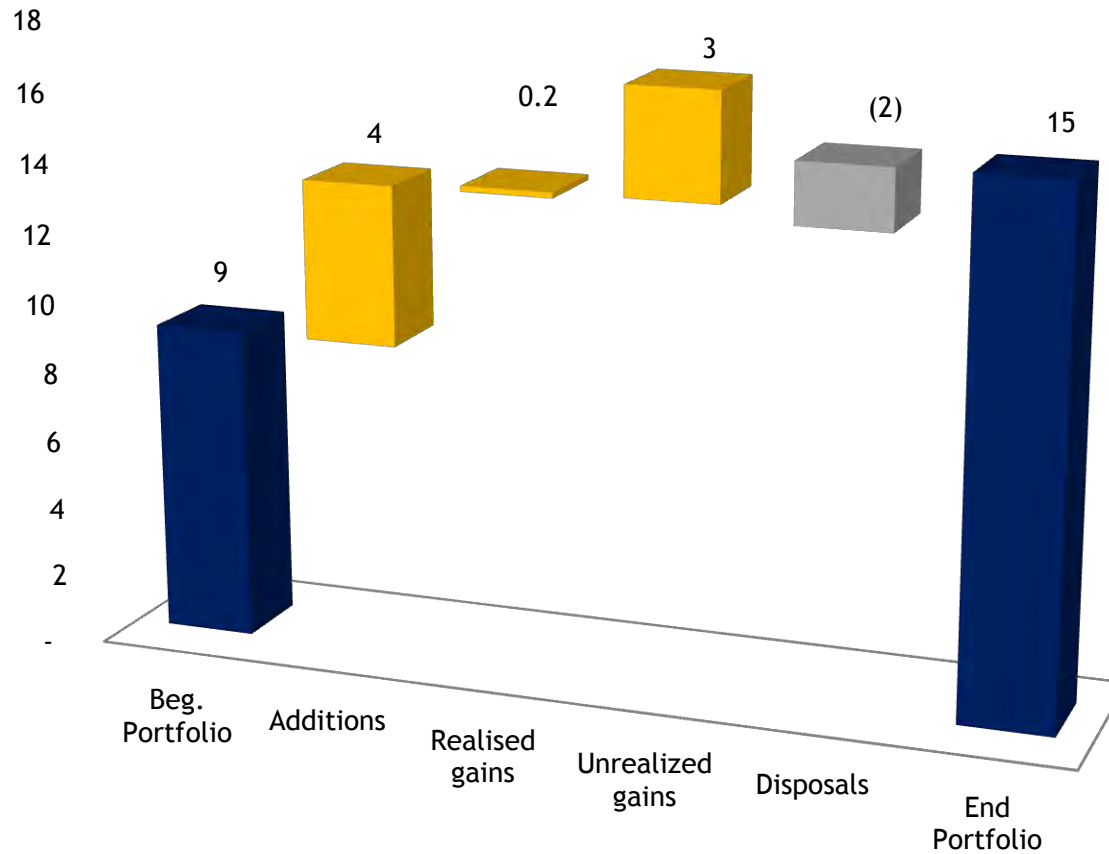


1.5 Exceptional Asset Growth



1.6 Current year portfolio growth

Kes. Bn



67% growth
in portfolio
value

1.7 Market beating returns

Year	Centum Share price return	Centum NAV Return	NSE 20 Return	USE Index Return
2006	56%	32%	8.0%	22%
2007	173%	35%	21%	5%
2008	0%	-3%	5%	11%
2009	-61%	-31%	-40%	-33%
2010	67%	56%	43%	36%
2011	38%	37%	-4%	27%

2. Financial Performance



2. Financial Performance

2.1 Financial Results - Company Highlights

2.2 Financial Results - Group Highlights

2.43 Corporate Actions



2. Performance

2.1 Financial Results - Company Highlights

2.2 Financial Results - Group Highlights

2.3. Corporate Actions



2.1 Performance Highlights

Kes. m	Mar'11	Mar'10	Mar'09
--------	--------	--------	--------

Return

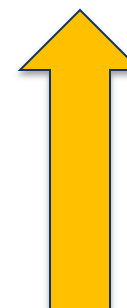
Total Return	3,395	3,298	(2,687)
Return on Opening Equity (ROE)	37.1%	56.3%	(30.6%)

Costs

Cost efficiency	2.0%	2.1%	2.1%
-----------------	------	------	------

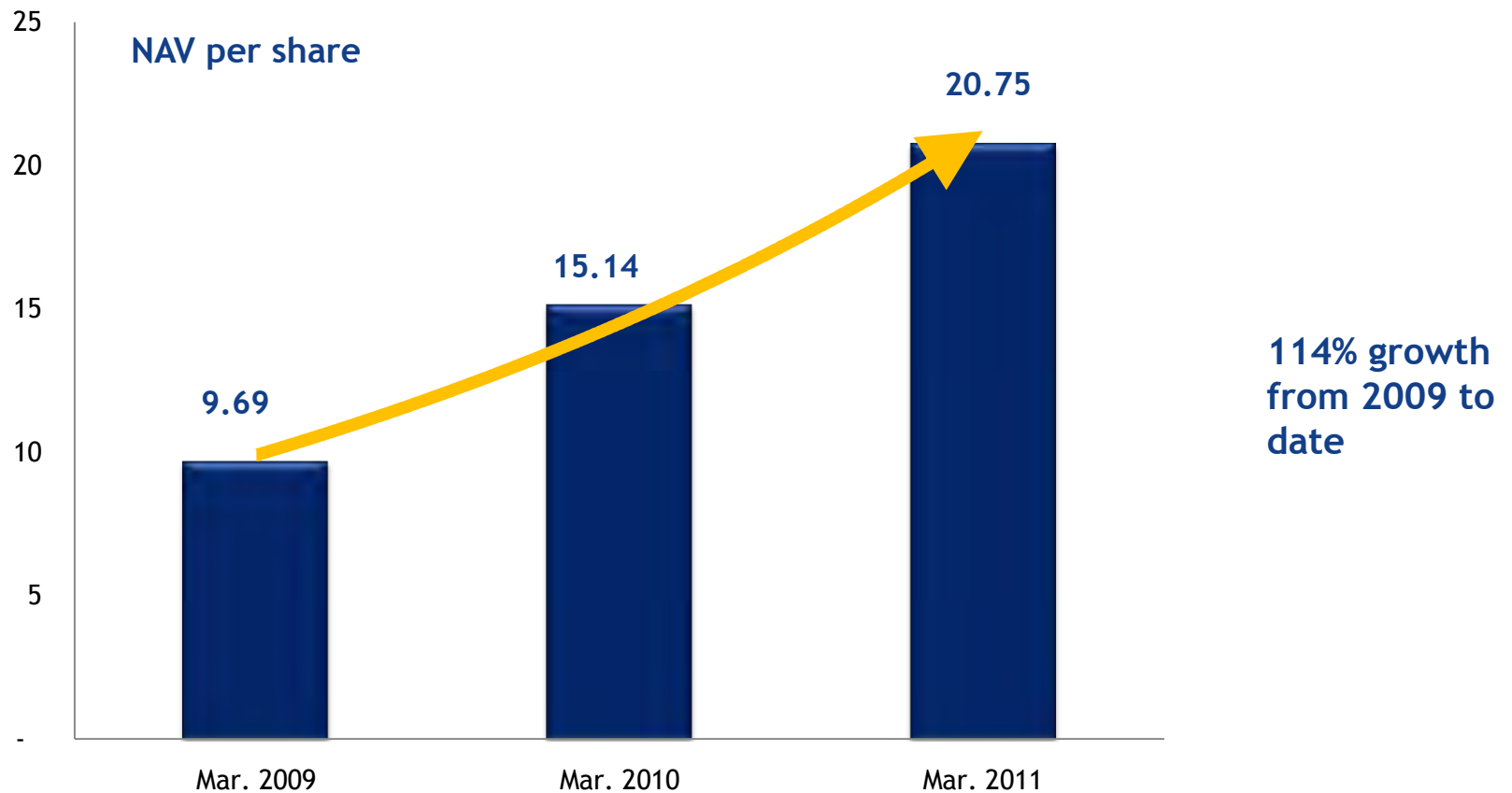
Financial Position

Asset value	15,003	9,840	6,397
Net Asset Value (NAV)	12,552	9,157	5,859
NAV/Share	20.75	15.14	9.69
Net Debt	1,988	-	-
Gearing	15.8%	-	-



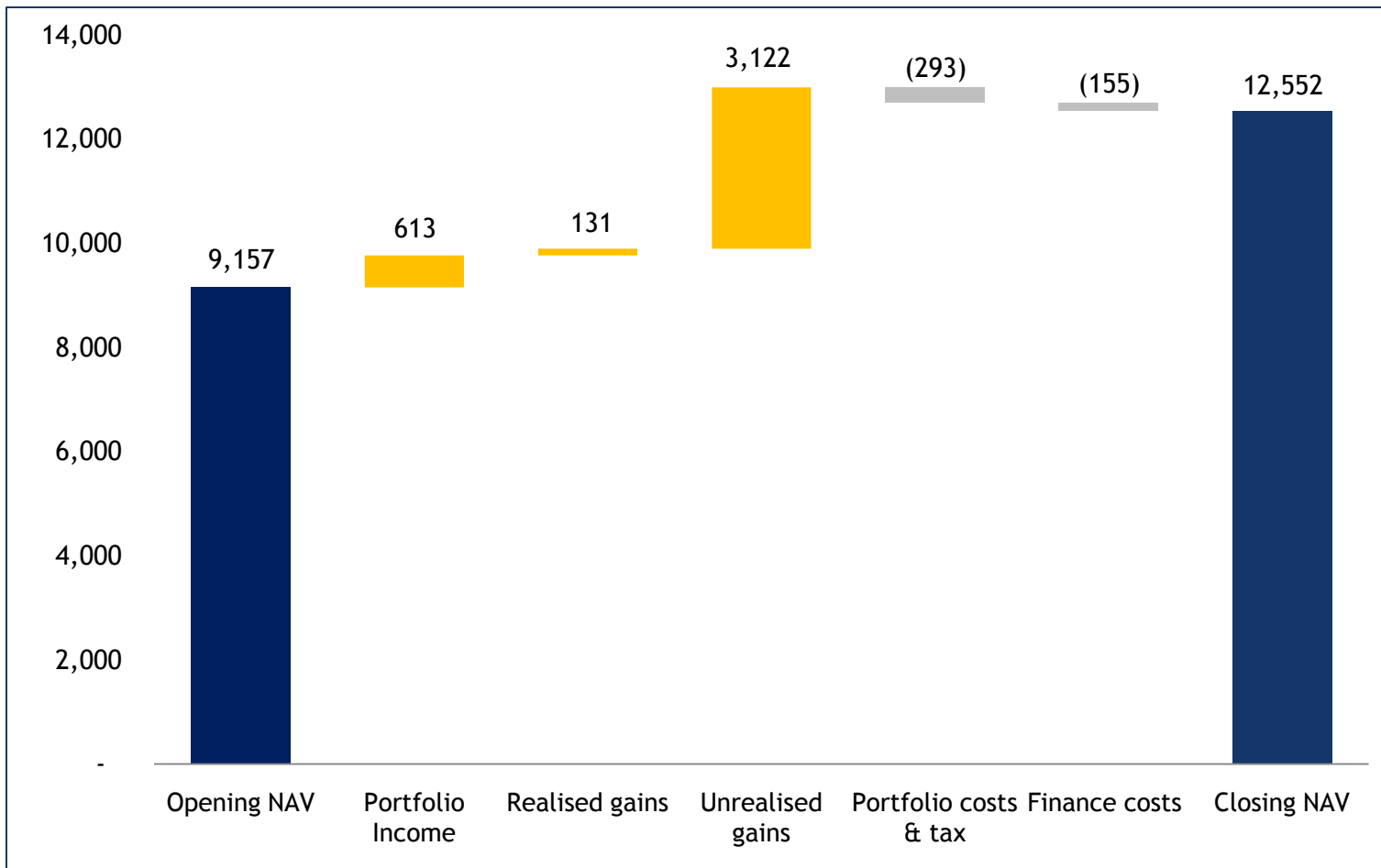
- 37% growth in total return
- Costs contained below 2.5%
- 67% growth in asset value
- 37% growth in NAV
- Increased gearing

2.1.1 NAV progression



2.1.2 Net Asset Value (NAV) Progression

Kes. m



2.1.3 Company performance - IFRS

Statement of comprehensive income

<i>Kshs. m</i>	FY2011	FY2010	Change
Income	1,695	1,121	51%
Expenses	(291)	(199)	46%
Finance costs	(155)	(47)	-230%
Profit before tax	1,249	875	43%
Tax	(2)	13	(115)%
Profit after tax	1,247	888	40%
OCI	2,148	2,409	-11%
Total Compr. Income	3,395	3,297	3%

Statement of Financial Position

<i>Kshs. m</i>	FY2011	FY2010
Assets		
Total Assets	15,003	9,840
Capital & Liabilities		
Debt	1,988	-
Other liabilities	463	683
Capital & Reserves	12,552	9,157
	15,003	9,840
NAV per Share (Kes)	20.75	15.14

Growth driven by the increase in portfolio income (both the dividends and unrealized gains) on the back of improved performance of our investee companies

2.1.4 Company performance per Business line

STATEMENT OF COMPREHENSIVE INCOME	Kshs.m	PE	QPE	R&I	Total
	Portfolio income	554	185	5	744
	Unrealised gains	1,880	221	999	3,099
	Gross Return	2,434	405	1,004	3,843
	Costs	(166)	(85)	(197)	(448)
	Total Return	2,268	320	807	3,395

STATEMENT OF FINANCIAL POSITION	Kshs.m	PE	QPE	RE&I	Total
	Investment Property			3,520	3,520
	Private Equity	7,572			7,572
	Quoted Equity		3,425		2,422
	Bonds		515		515
	Portfolio Value	7,572	3,940	3,520	15,031
	Net Assets	90	4	(587)	491
	Debt	-	-	(1,988)	(1,988)
	Net Asset Value	7,662	3,944	946	12,552

2. Performance

2.1 Financial Results - Company Highlights

2.2 Financial Results - Group Highlights

2.3 Corporate Actions



2.2 Group performance - IFRS

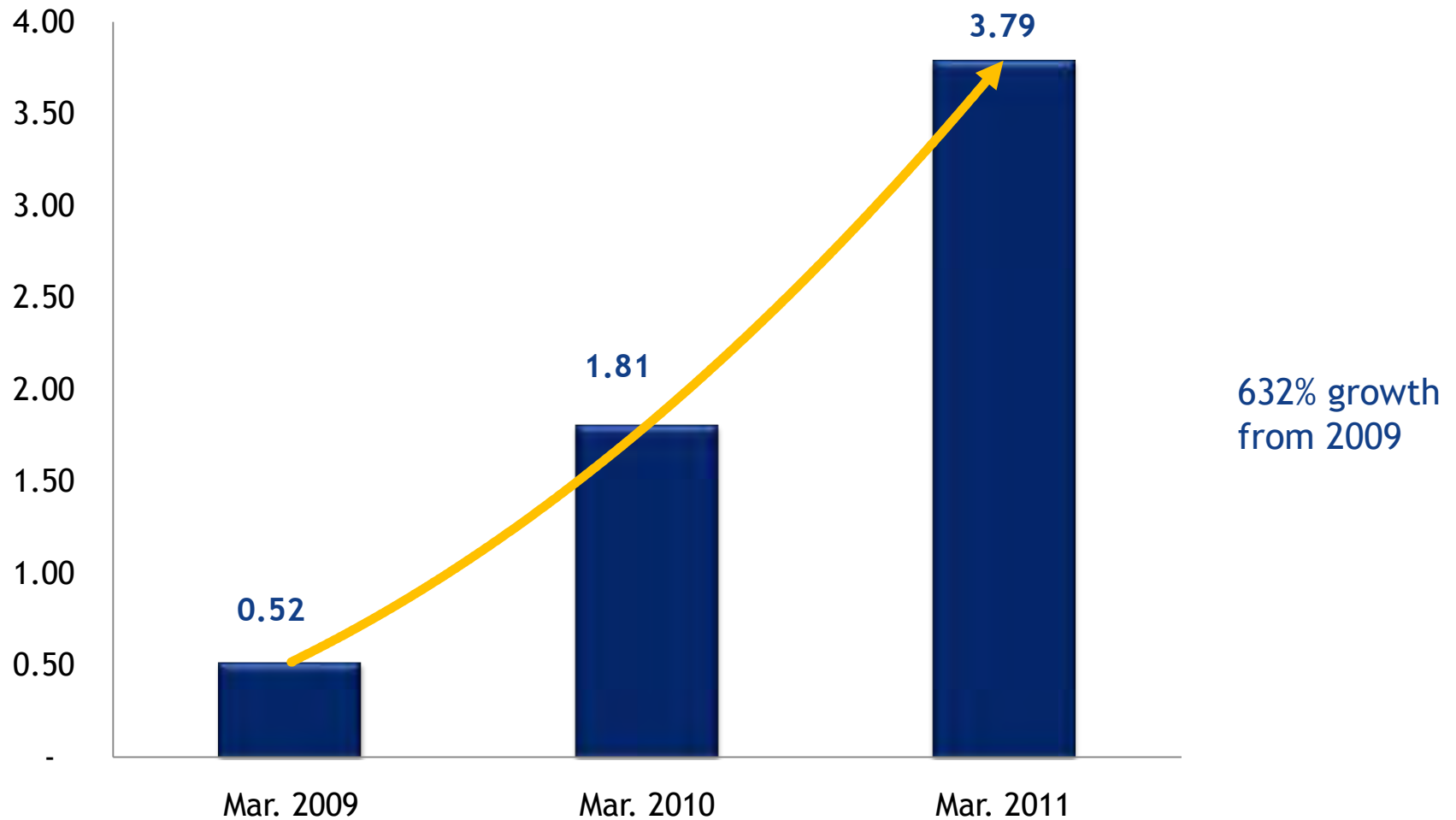
Statement of comprehensive income

<i>Kes. m</i>	FY2011	FY2010	Change
Income	2,261	1,038	118%
Expenses	(299)	(200)	-50%
Finance costs	(155)	(47)	-230%
Share of Assoc. earnings	487	290	68%
Profit before tax	2,294	1,081	112%
Tax	(2)	13	-115%
Profit after tax	2,292	1,094	110%
OCI	(589)	446	-232%
Total compr. Income	1,703	1,540	11%
EPS	3.79	1.81	

Statement of financial position

<i>Kes. m</i>	Mar '11	Mar'10
Assets		
Portfolio value	11,966	7,709
Other Assets	335	547
	12,301	8,256
Capital & Liabilities		
Debt	1,988	-
Other liabilities	754	400
Capital & Reserves	9,559	7,856
	12,301	8,256

2.2.1 Group performance (EPS)



2.2.2 Reconciling Company to Group performance (Total Comprehensive Income)

<i>Kes m</i>	Company	Adjustment	Group
Investment Income	1,685		1,685
<i>Dividend income from Associates</i>		(354)	(354)
<i>Share of Associate profits</i>		487	487
Expenses	(446)		(446)
Tax	(2)		(2)
Other comprehensive income	2,158		2,158
<i>Associate fair value movement</i>		(1,990)	(1,990)
<i>Share of associate equity movement</i>		165	165
Total Comprehensive Income	3,395	1,692	1,703

2.2.3 Reconciling Company to Group performance

(Statement of Financial Position)

<i>Kes m</i>	Company	Adjustment	Group
Portfolio Value	14,463		14,463
<i>Share of Associates book value</i>		3,377	3,377
<i>Fair Value of Associates</i>		(6,231)	(6,231)
Net assets	77		77
Borrowings	(1,988)		(1,988)
<i>Dividend receivable from Associates</i>		(139)	(139)
Net Asset Value	12,552	(1,301)	9,559

- Company - Associates held at Fair Value
- Group - Associates held at Net Asset Value (NAV)

2. Performance

2.1 Financial Results - Company Highlights

2.2 Financial Results - Group Highlights

2.3 Corporate Actions



2.3 Corporate Actions

Bonus Issue of shares

- Directors recommend a 1:10 bonus issue of shares
- The shareholder register will close on 22 July 2011

Cross Listing

- The Directors recommend Centum's listing by introduction on the Dar es Salaam Stock Exchange and Rwandan Stock Exchange

3. Business Line Review



3. Business Line review

3.1 Overview

3.2 Real Estate & Infrastructure

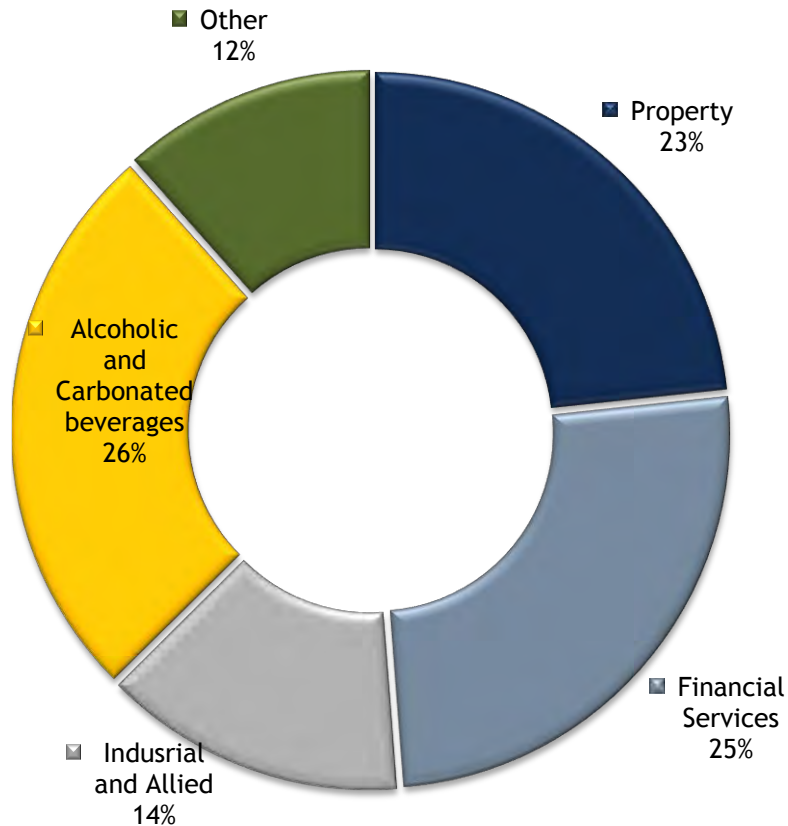
3.3 Private Equity

3.4 Quoted Private Equity

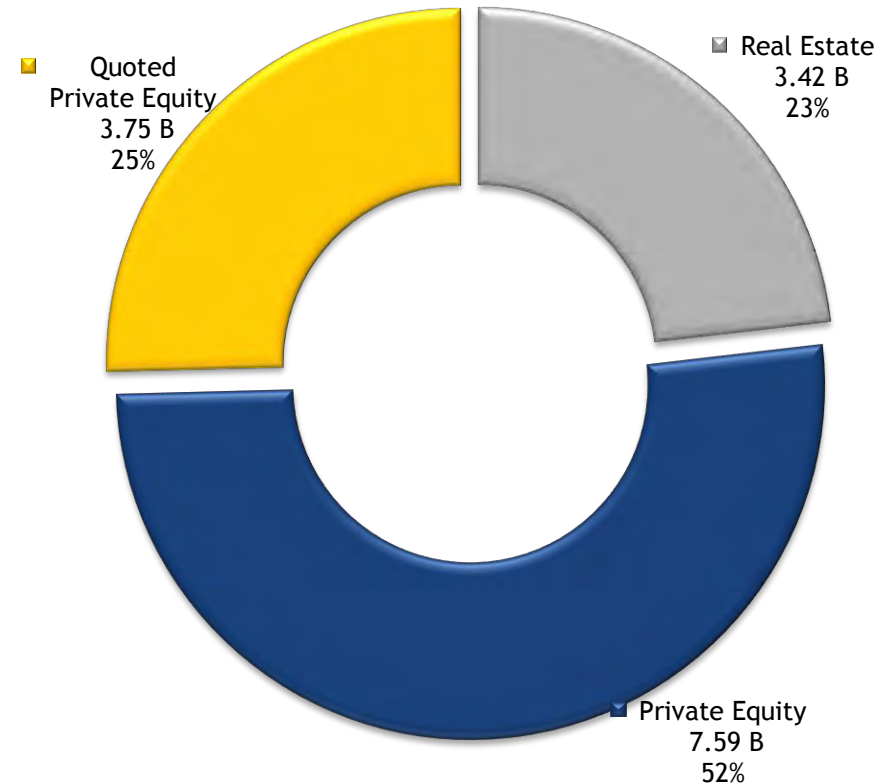


3.1 Business line & Sector Diversification

Allocation by Sector



Allocation by Business Line



3. Business Line review

3.1 Overview

3.2 Real Estate & Infrastructure

3.3 Private Equity

3.4 Quoted Private Equity



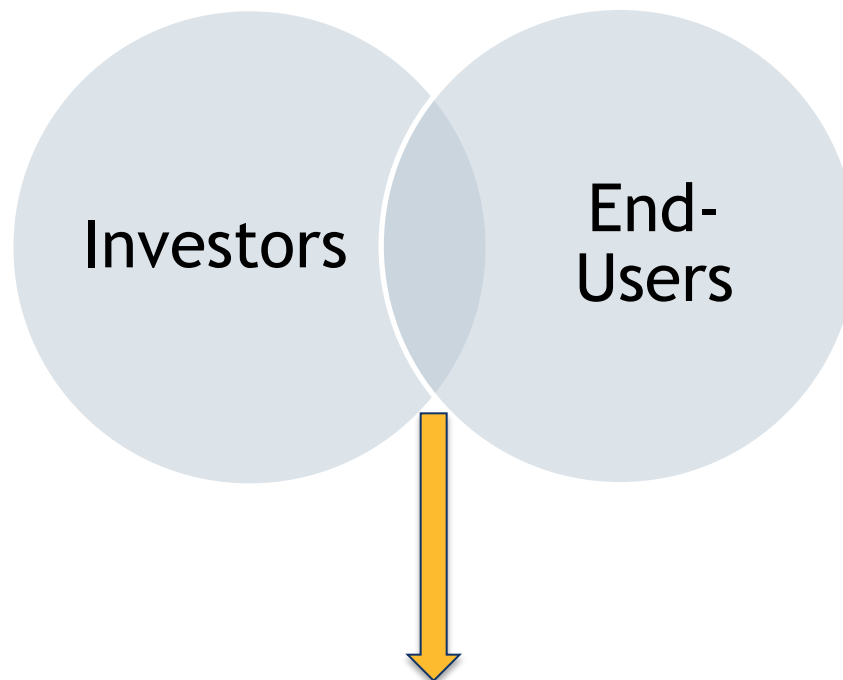
Real Estate Business Review

Why Real Estate?

- Seek exposure to RE asset class in the region;

BUT

- Lack of: sizeable, liquid, diversified (by region & by use), income generating investment grade RE assets in the region;



- Seek well planned and managed neighborhoods;

BUT

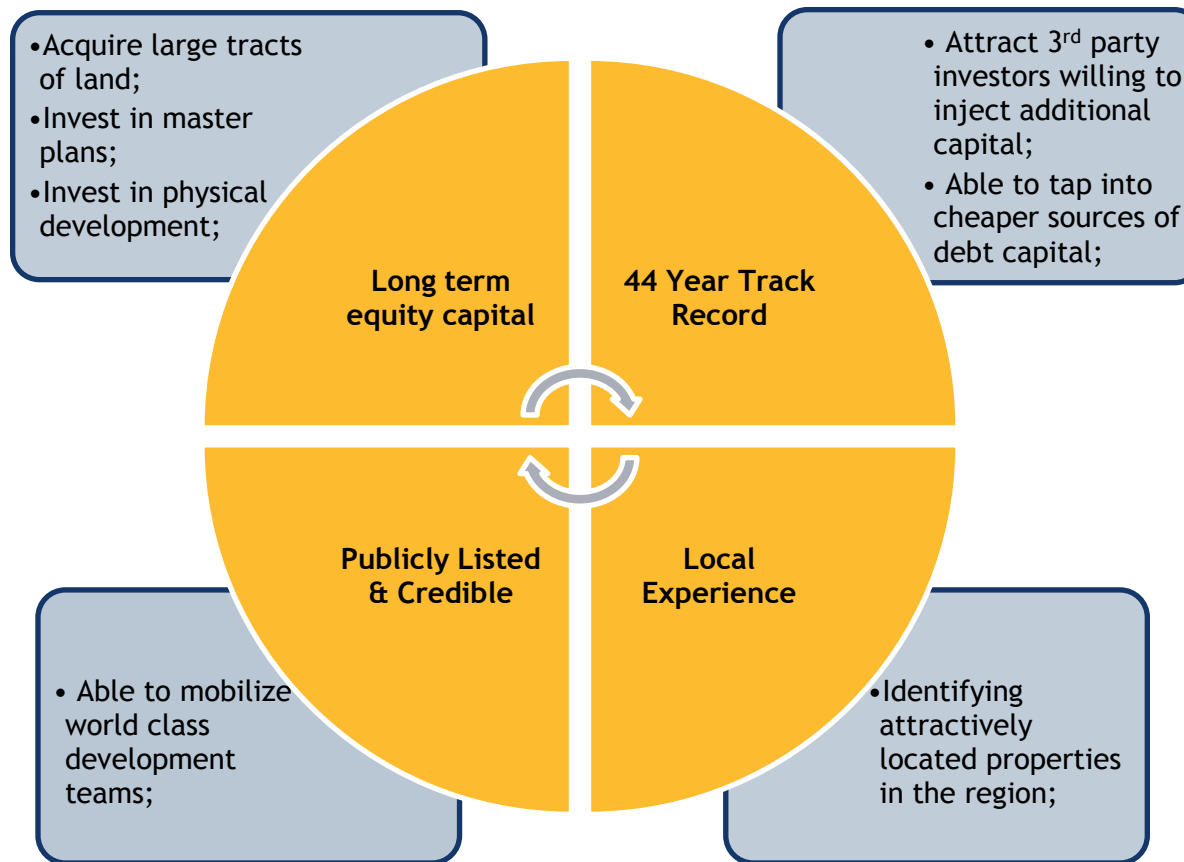
- Ad-hoc, unplanned developments currently dominate the market due to capital and regulatory constraints;

The Opportunity

1. *“Create a diversified portfolio of investment grade real estate assets”*
2. *“Develop world class destinations anchored on an authentic East African Experience”*

Real Estate Business Review

Why Centum?



Our Competitive Advantage

Real Estate Business Review

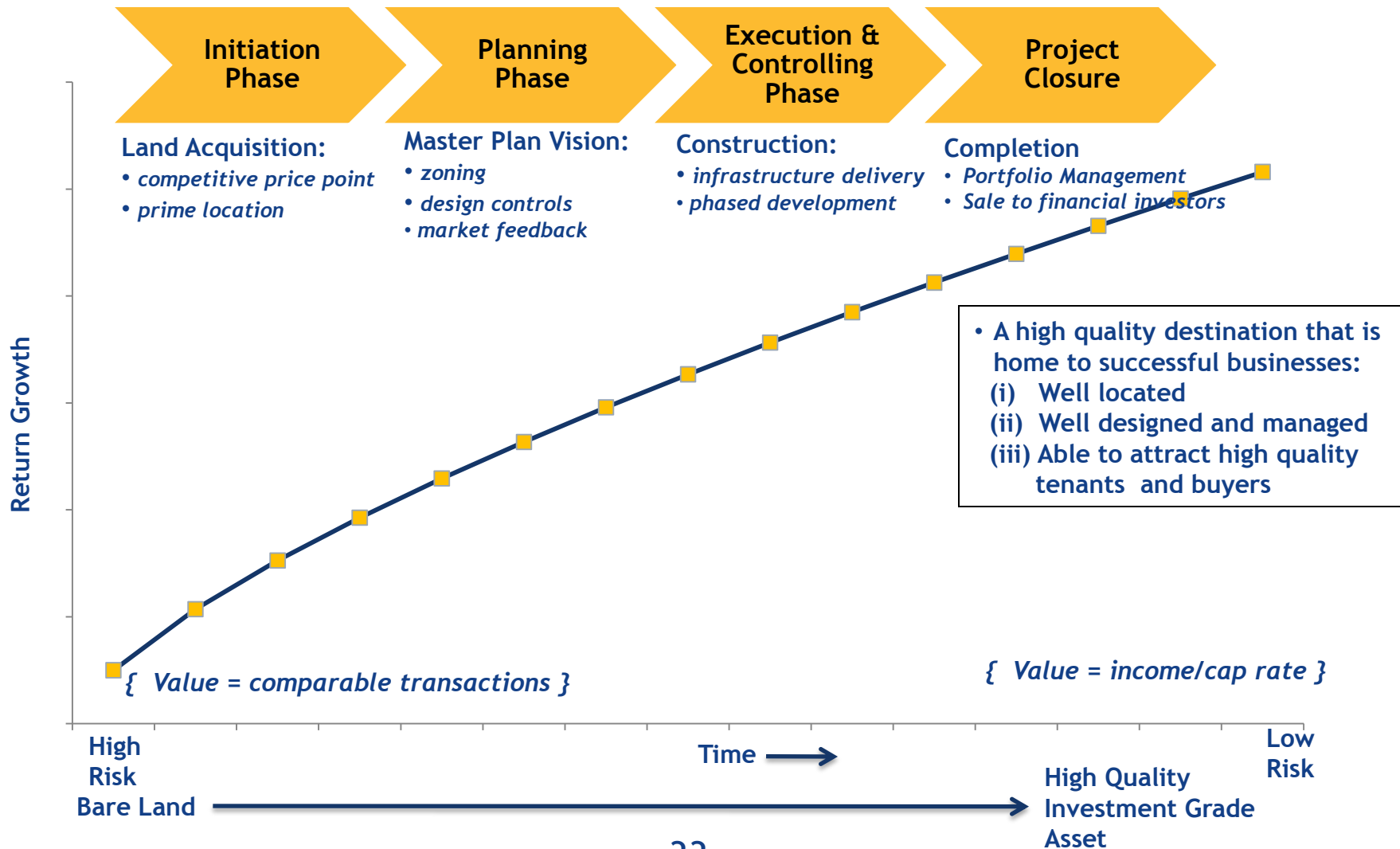
Our Approach

	Investors	End-Users
High Value	• Create an investment grade asset that is low risk and generates income and capital appreciation; • Regional diversification • Long term focus (sustainability); • Exit primarily via sale of financial instruments; • Branded and vibrant destinations; • Phased development;	• Well located, well designed and well managed developments; • Project Sponsor as “lead developer”; • Branded and vibrant destinations; • Mixed uses
Low Value	• Exit primarily via direct land/property sales; • Short term focus; • No emotional connection with end-users; • Bulk development;	• Uncontrolled development; • Project Sponsor with no development capital at risk; • Development “short cuts”;

Our Focus is on High Value Actions for Investors and End-Users

Real Estate Business Review

- Business Model



V&A Waterfront





Canary Wharf



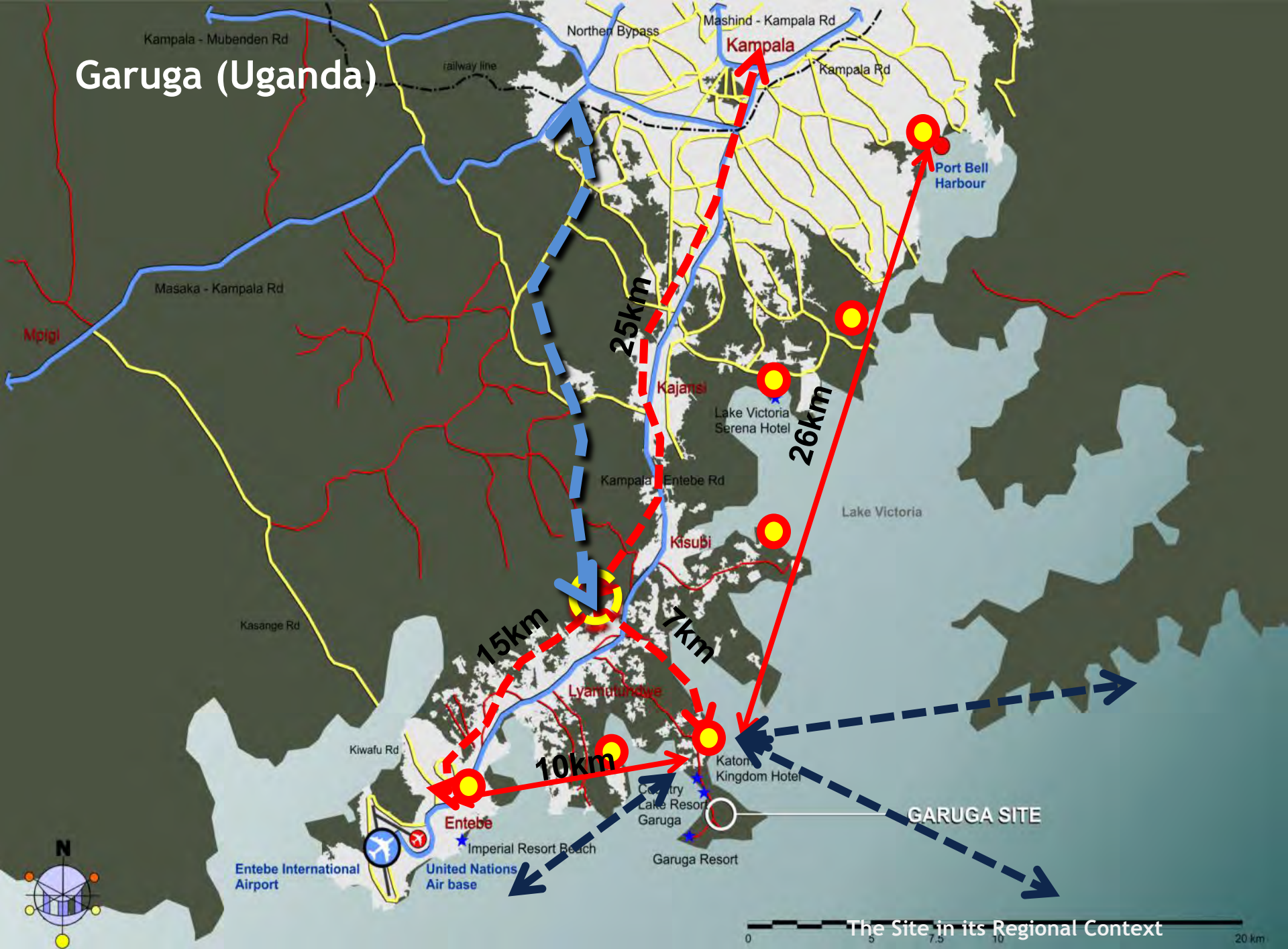
Rockefeller Center

Real Estate Business Review

Centum's Properties

	Project Company	Year Acquired	Description
1	Uhuru Heights Limited	1987/1988	• 0.6 acre undeveloped property located along Uhuru Highway, between Laico Regency and Utalii House; • Currently managed as a public parking facility;
2	Runda Closeburn Limited	2010/2011	• 100 acres located in Nairobi's most sought after address and within the Gigiri diplomatic complex;
3	Pearl Marina Estates Limited	2010/2011	• 300 acres located on the Garuga peninsula, off the Entebbe-Kampala highway;

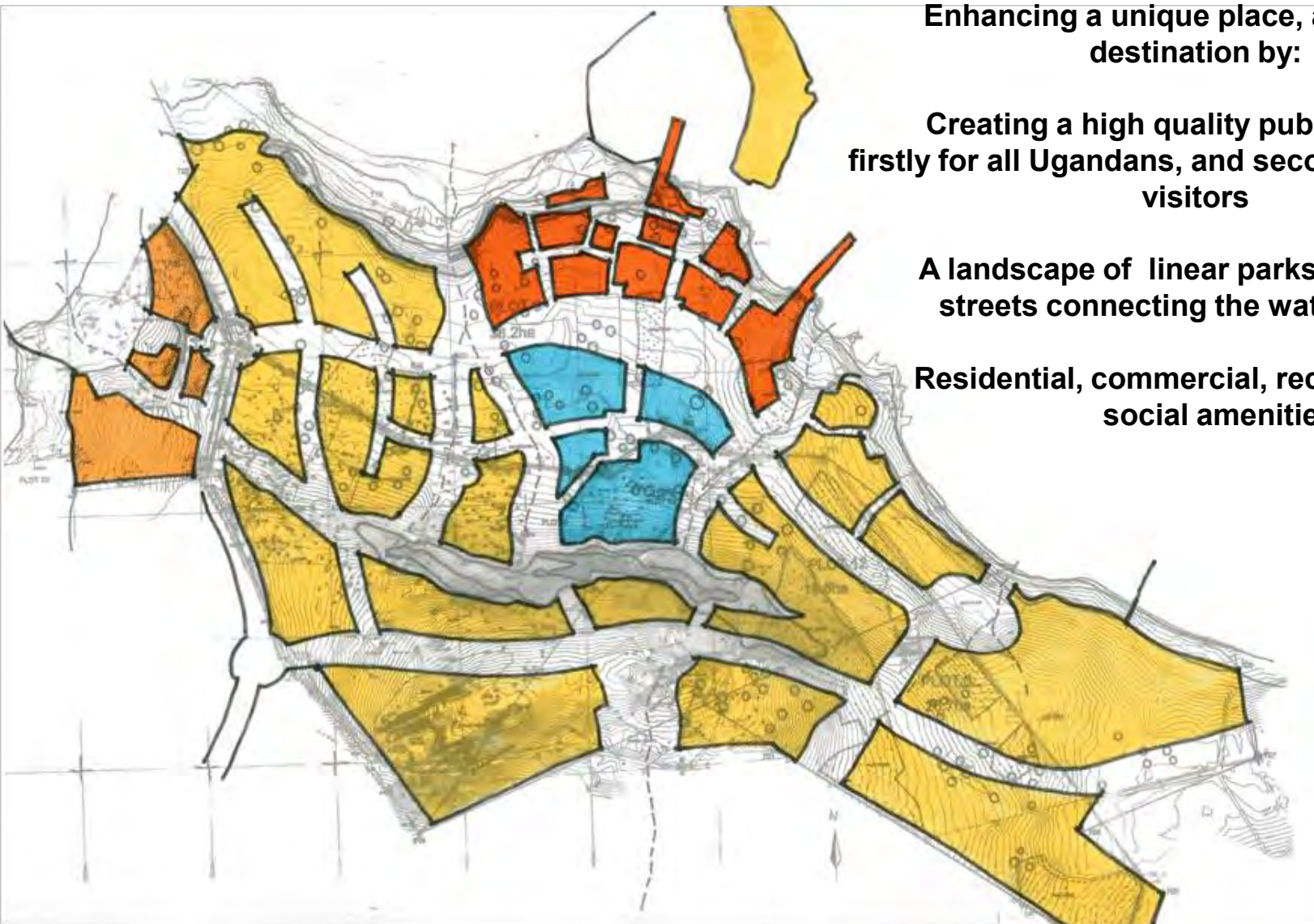
Garuga (Uganda)



Uniqueness of the Garuga Site



Illustrative Master Plan Vision - Garuga (Uganda)



Enhancing a unique place, and creating a destination by:

**Creating a high quality public waterfront;
firstly for all Ugandans, and secondly for foreign
visitors**

**A landscape of linear parks and designed
streets connecting the waterfront to**

**Residential, commercial, recreational, and
social amenities**

CLOSEBURN ESTATE

Site Location (Runda)

Ruaka

Ruaka Hill Rd

Rosslyn

Karura

US Embassy Staff Housing

Thindigua

Garden

Nyari

Village Market & Tribe Hotel

United Nations Complex

Muthaiga North

US Embassy

Kenya Teachers Training College

Ridgeways

Peponi Rd

Barton Estate

Canadian Embassy

Muthaiga

Kenya Pipeline Estate

Balozi Estate

Spring Valley

Kyuna Rd

Spring Valley

Kenya Pipeline

Google

Image © 2010 DigitalGlobe
Image © 2010 GeoEye
© 2010 Europa Technologies
© 2010 Google

11°13'27.47"S 36°49'12.04"E elev 5532 ft

Mathare alt 3454 ft

Imagery Date: Jan 25, 2010

Uniqueness of Runda Site

Link Road to
Waiyaki Way

Northern Bypass

Limuru Road



Illustrative Master Plan Vision - Runda (Kenya)



A new integrated mixed use destination featuring:

A range of housing options

Pedestrian friendly quality public space

Environmentally sustainable

A hierarchy of public to private space with nested but unobtrusive security

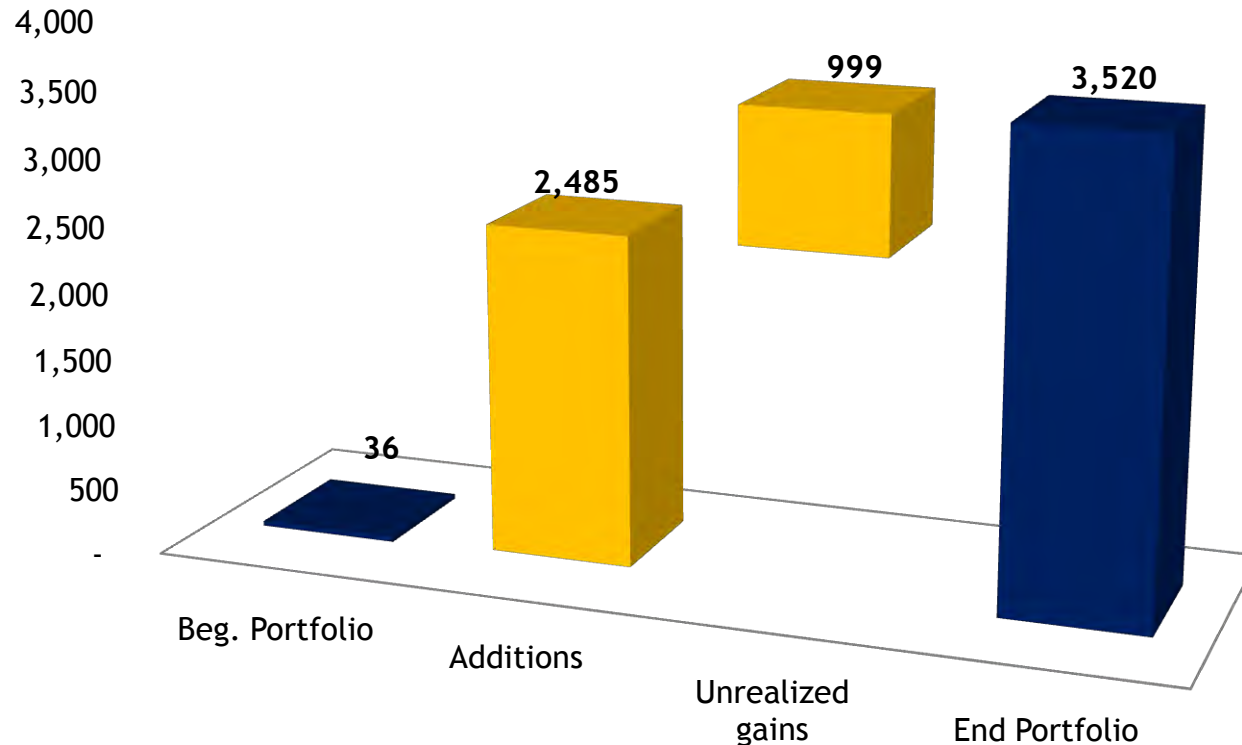
Development Plans - Nairobi CBD Property



Real Estate Portfolio Review

FY 2010/2011 Highlights (cont'd)

Kes. m



Acquisition of “Real” Assets with High Return Potential

Real Estate Business Review

FY 2010/2011 Highlights (cont'd)

Project Company

Key Drivers of Unrealized Gains

1 Runda Closeburn Limited

- Negotiated an attractive entry price;
- Successfully completed a difficult acquisition;
- Construction of Northern By-Pass complete;

2 Pearl Marina Estates Limited

- Negotiated an attractive entry price;
- Successfully completed a difficult acquisition;
- Consolidated ownership of three contiguous properties;
- Increased interest in the peninsula driven by growing UN presence in Entebbe;

3 Uhuru Heights Limited

- Revaluation of asset previously held at cost;

Real Estate Business Review

FY 2011/2012 Business Focus

Project Company

Key Drivers of Future Value Growth

1 Runda Closeburn Limited

- Complete the master plan vision (convert bare land into high value destination);
- Satisfy conditions for change of user;
- Identify and engage target market for phase 1;
- Begin development of phase 1 (possibly a diplomatic hub);

2 Pearl Marina Estates Limited

- Complete the master plan vision;
- Identify and engage target market for phase 1
- Begin development of phase 1

The V&A Waterfront



The Nelson Mandela Square



architects/urban designers



architects/urban designers



architects/urban designers



architects/urban designers



architects/urban designers



architects/urban designers



La Lucia Office Park





acorn

acorn

acorn

acorn



acorn

acorn

acorn



acorn





Switch Switch

Switch Switch

Switch Switch

Switch Switch

Switch Switch

Switch Switch

Switch Switch

Switch Switch

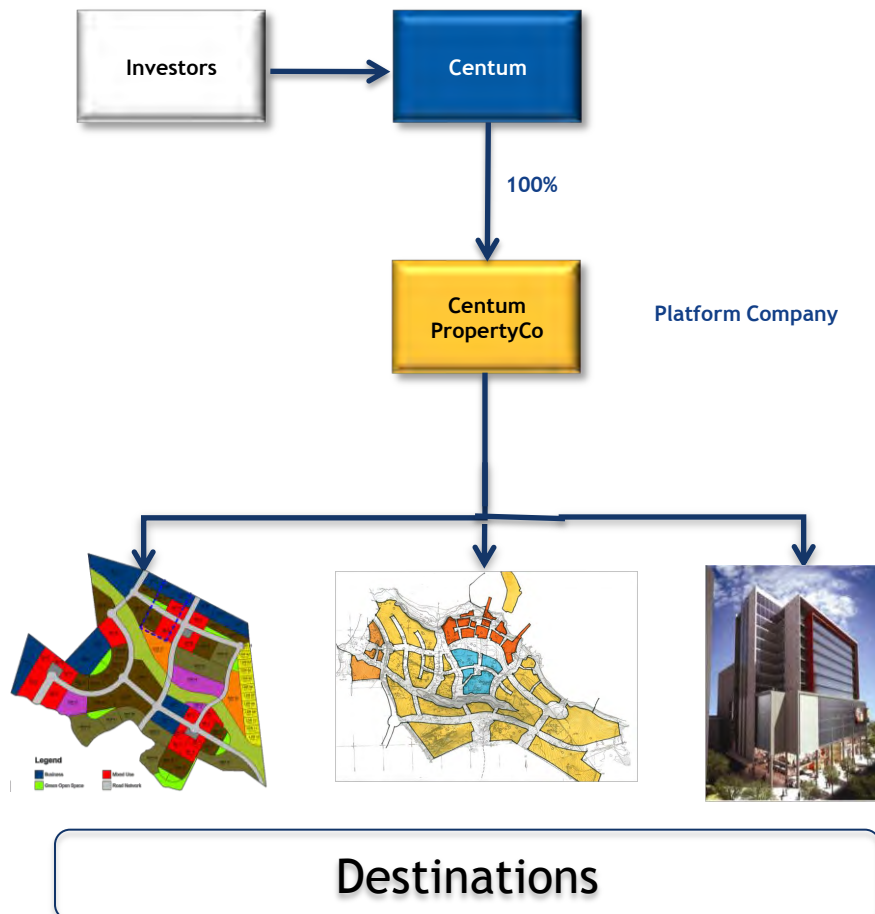
Switch Switch





Real Estate Business Review

Investor Opportunity



- Purchase Centum's shares today:
 - ✓ Quickest and simplest way to gain exposure to Centum's RE portfolio;
 - ✓ Participate in the creation of world class destinations;

3. Business Line review

3.1 Overview

3.2 Real Estate & Infrastructure

3.3 Private Equity

3.4 Quoted Private Equity



Private Equity Portfolio Overview

Business Overview

- The private equity business line focuses on acquiring controlling and significant minority positions in private companies across Sub-Saharan Africa
- Our deal size is USD 2MM – USD 20MM with a focus on two key transactions:
 - Growth / developmental capital
 - Buy-Outs
- While we do not seek to operate investees directly, we create value by influencing strategic direction through active board participation and providing capital to drive sustainable profitable growth
- Our target return is 30% - 35% year-on-year



Investment Approach

- Centum will focus on sectors with the following broad characteristics:
 - Large and growing domestic and regional market that is targeted principally to households and private businesses;
 - Basic goods and services whose demand will increase as purchasing power increases;
 - Products and services with limited scope for import substitution;
 - Sustainable competitive advantage, with relatively high barriers to entry and not replicable by pure addition of capital
 - Sectors with pricing power that will allow price increases with inflation
 - Relative industry certainty with a stable regulatory environment

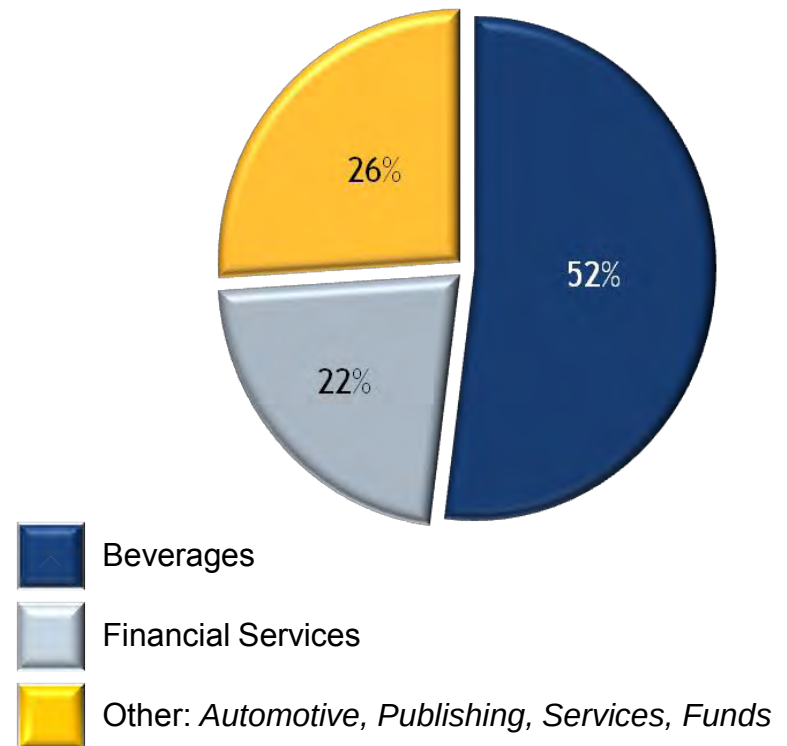
Private Equity Portfolio Overview

Portfolio Companies	Investment Criteria					
	Local Demand	Linked to GDP	Low Import Substitution	Competitive Advantage	Pricing Power	Regulatory Stability
 KENYA WINE AGENCIES LTD	✓	✓		✓	✓	✓
	✓	✓		✓	✓	✓
	✓	✓	✓	✓		✓
	✓	✓		✓	✓	✓
	✓	✓	✓	✓	✓	✓
	✓	✓	✓	✓	✓	✓
 Better. Simple. Life.	✓	✓	✓	✓	✓	✓

Private Equity Portfolio Overview

Portfolio Companies	% Holding	% PE Portfolio	% Total Portfolio
Nairobi Bottlers	27.6%	33.3%	19.5%
Mt. Kenya Bottlers	27.8%	6.8%	4.0%
Rift Valley Bottlers	44.0%	6.5%	3.8%
Kisii Bottlers	26.4%	1.8%	1.1%
KWAL Holdings	26.7%	3.3%	1.9%
UAP Holdings	24.2%	15.0%	8.8%
Aon Minet	21.5%	6.95	4.0%
K-Rep Bank	1.7%	0.3%	0.2%
CDSC Fund	10.0%	0.1%	0.1%
General Motors	17.8%	18.3%	10.7%
Longhorn Pub.	35.0%	3.7%	2.2%
NAS Air. Services	9.1%	3.0%	1.8%
Helios II	1.7%	1.1%	0.4%

Portfolio Sector Exposure



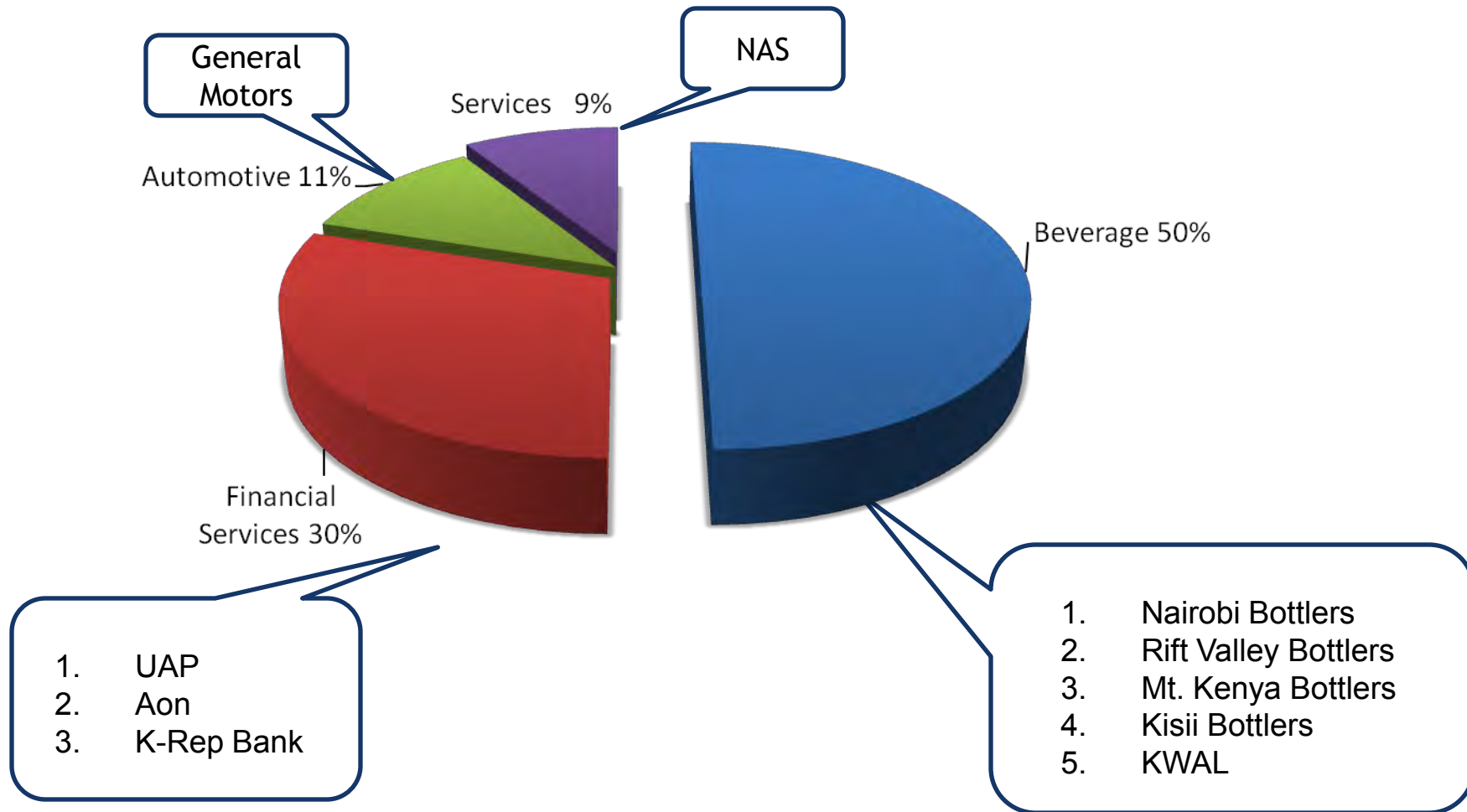
Private Equity Business Line Performance 2010 - 2011

Consistently outperformed the market

Year	Private Equity Net Return	NSE 20 Return	Spread
2010	61%	43%	18%
2011	31%	-5%	36%
Average	46%	19%	27%

The Private Equity Business line outperformed the NSE 20 share index by a spread of 36% in 2011

Private Equity Performance Attribution By Sector



Private Equity - Outlook of key sectors

1

Beverage



- Growth achieved in 2010 to be sustained in 2011.
- Key risks to come from inflation and increased competition.

2

Financials



- Better results to be derived from a diversification by product and geography.
- That the portfolio companies will remain dominant in their respective industries.

3

Others

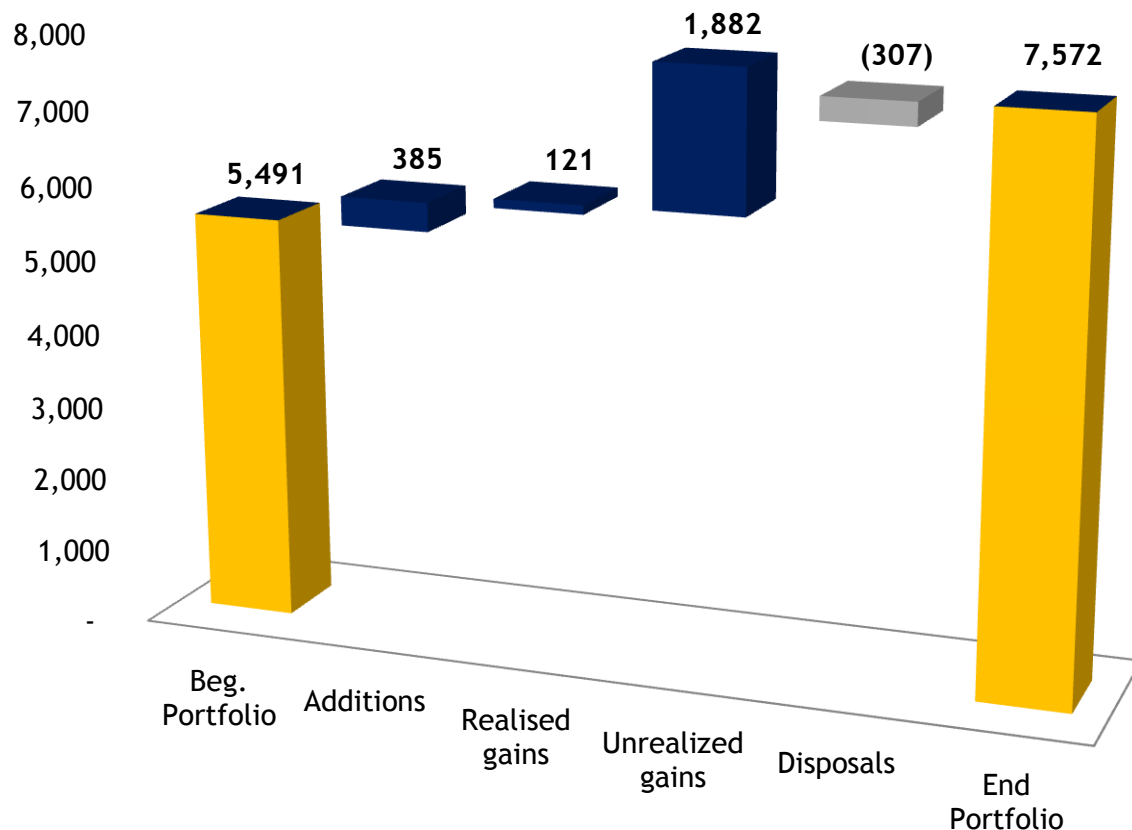


- Improved prospects for the commercial segment of automotive sector through government policy change on the PSV.
- Increased passenger traffic at JKIA to improve prospects of our airline service business.

Private Equity Business Line Overview 2010 - 2011

Performance Review

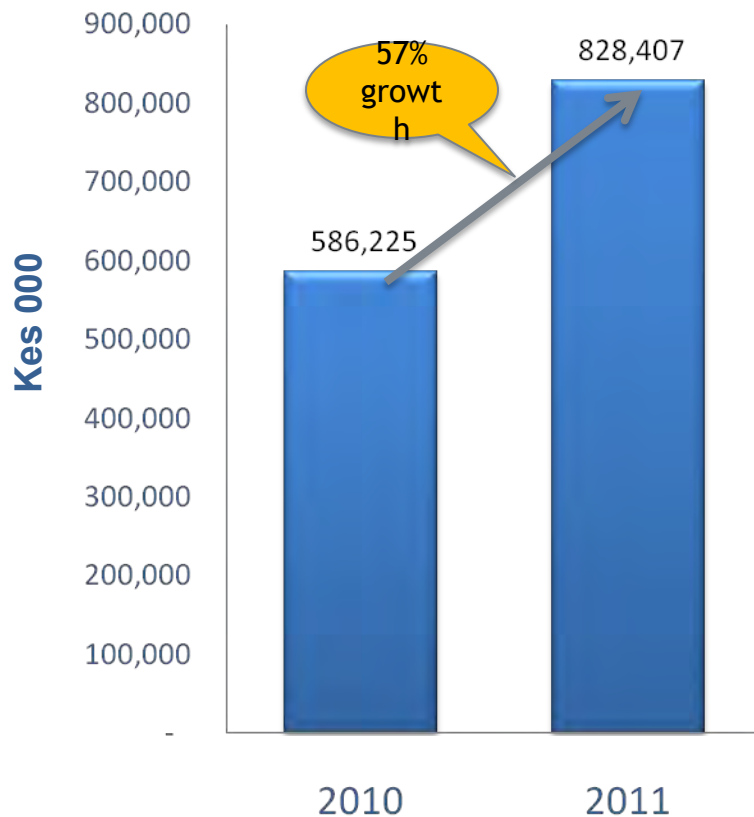
Kes. m



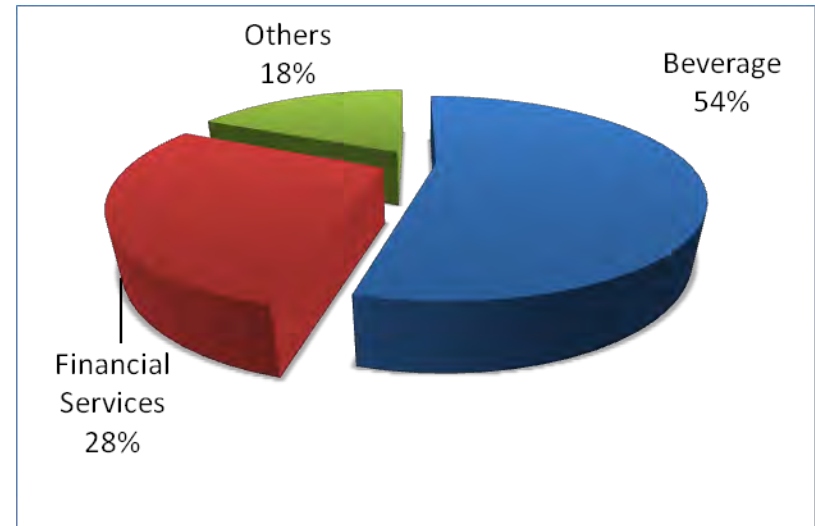
- Increased value creation initiatives in investee companies that saw earnings growth in all the companies in 2010;
- Earnings growth relative flat multiples lead to the increase in value of the assets;
- Increased investment in NAS from 9.13% to 15% during the year.

PE Business Line – earnings growth

Share of Centum's profits



Sectoral Allocation of earnings



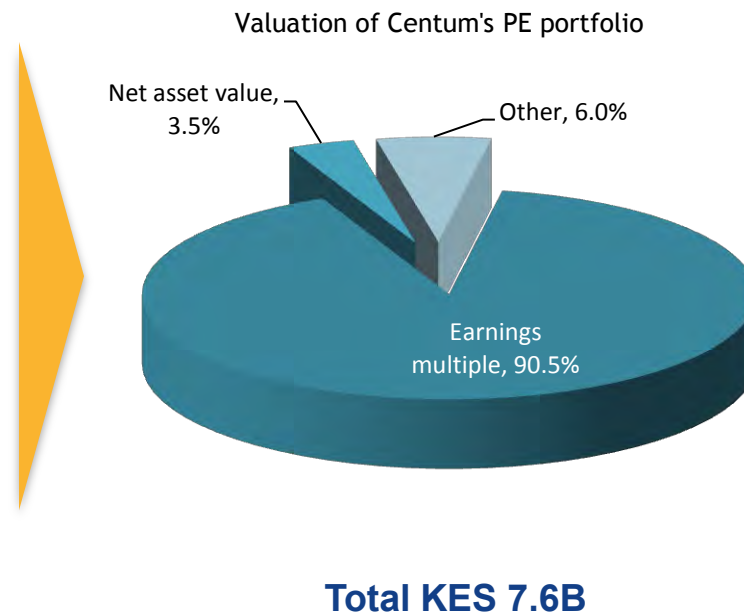
- Share of earnings from its private equity assets approaching the Kes 1 billion mark
- Diversified source of earnings reflects the current sectoral allocation of the private equity portfolio

Private Equity valuation methodologies

Valuation basis

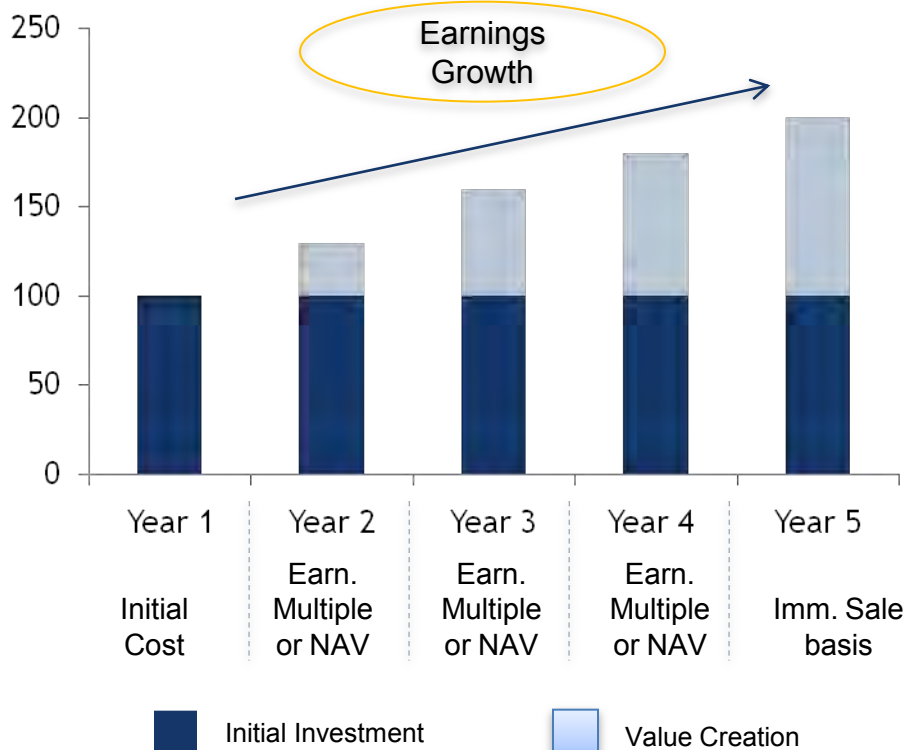
- 1 Price of a recent transaction;
- 2 Earnings multiple;
- 3 Net asset value;

Valuation basis proportions



Private Equity Portfolio Valuation

Investment Value



Fair Valuation

EARNINGS

X

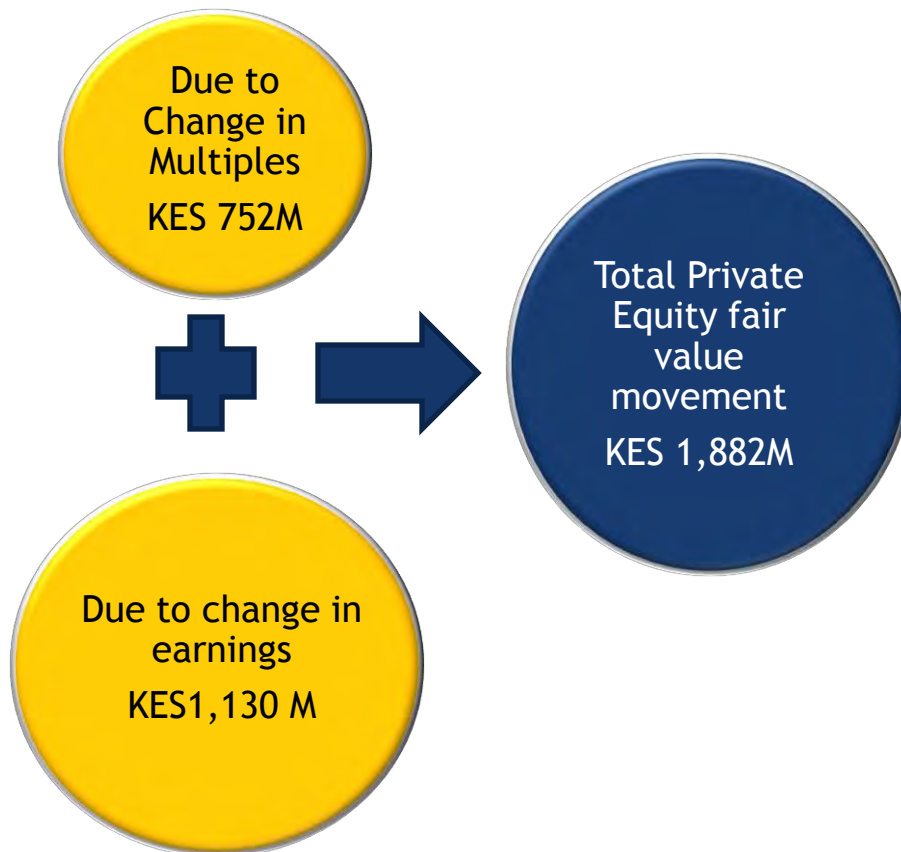
**COMPARABLE
MULTIPLES**



FAIR VALUATION

Private Equity - Unrealized Gains

Attribution of value movement



Weighted Average Earnings Multiple

31 March	2011	2010	2009
Pre-discount	10.43x	9.94x	6.94x
Post-discount	7.30x	6.96x	4.86x

•The value-weighted earnings multiple was 4.9% higher than previous year due to higher market prices;

•Improvement in earnings account for 60% of the change in fair value of investee companies that were valued using earnings multiples

Private Equity - Business Line Outlook

Where will value come from in 2012

1

Value creation
initiatives



- Continuous engagement with investee companies to sustain growth in 2011

2

Liquidity events



- We target to list and exit some of the investee companies.

3

New Investment



- We are looking to make new investments in 2011 with an average deal size of US\$ 20M
- We are looking to close at least two new high quality private equity deals in 2011

3. Business Line review

3.1 Overview

3.2 Real Estate & Infrastructure

3.3 Private Equity

3.4 Quoted Private Equity



Quoted Private Equity (QPE) Strategy

Our business model

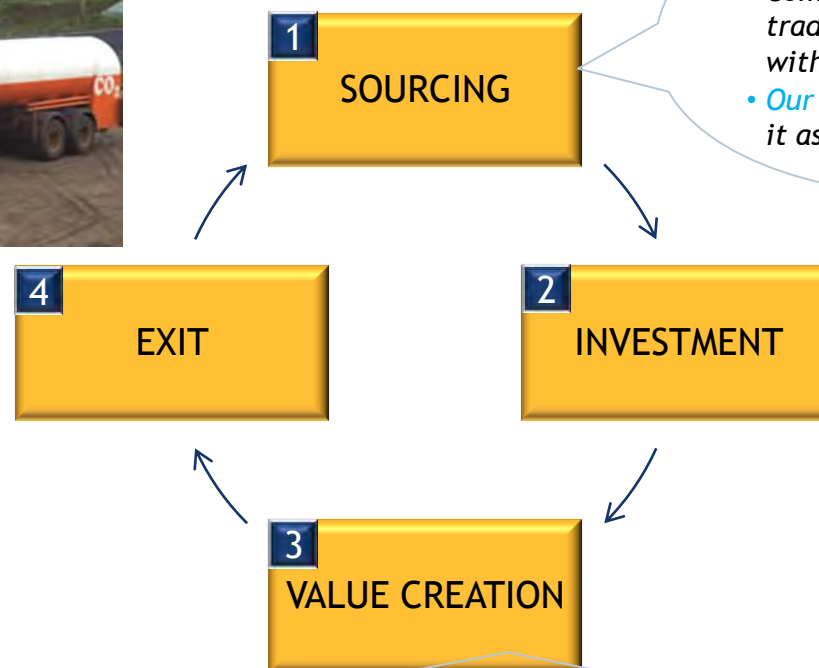
- We acquire influential or controlling equity stakes in quoted companies across Sub-Saharan Africa.
- We employ our expertise in Private Equity to select, invest and create value in illiquid stocks while giving investors a sufficiently liquid investment.
- We also invest in other marketable securities to help manage overall company liquidity
- Our target deal size ranges between USD 2 million to USD 20 million.



Our investment approach

- We focus on small & mid cap companies:
 - With value creation opportunities
 - With limited research coverage
 - With limited liquidity
- We see significant scope for these kind of investments in other attractive Sub-Saharan Africa markets:
 - Key target markets; Kenya, Nigeria, Ghana, Uganda, Tanzania
 - This also increases our ability to channel capital to markets that promise the best possible return for our shareholders
- We believe in making large ticket transactions to generate a meaningful return to our shareholders.
- We intend to build and manage third party funds alongside our own funds.

Carbacid case demonstrates a proven QPE Strategy



- Leveraged on our *networks* to source for the deal from the Alliance Group
- Company was unlisted/suspended from trading, hence, *illiquid, under-researched*, with *growth potential*
- Our *PE expertise* was crucial to identifying it as a suitable investment target

- Acquired a *22.6% stake* for Kshs418mn to become the single largest shareholder
- The whole process took 3 months to completion (

- Carbacid was a uniquely attractive investment as we found *an already well run business*, a monopoly, with significant growth potential, cash rich, besides having very healthy net margins (the best at the NSE)

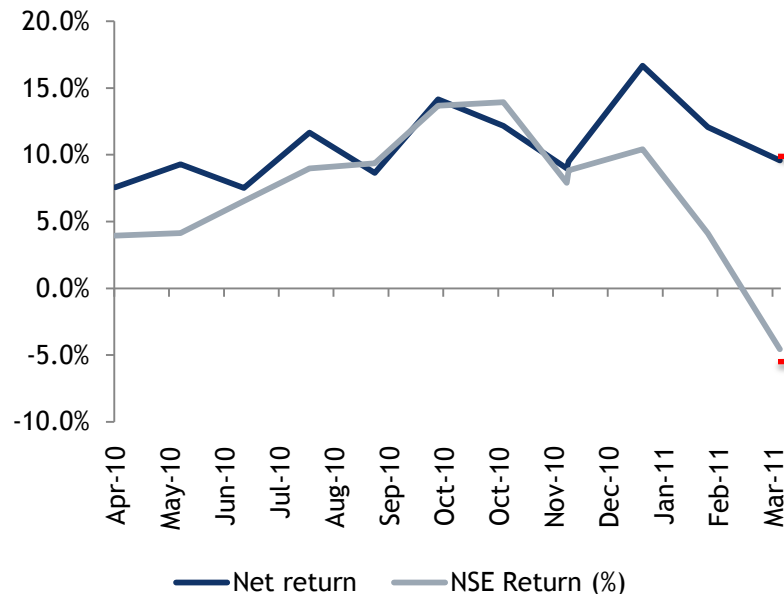
- Exited 24 months later
- Generated *88% IRR & 190% HPR* (Kshs1.2Bn in dividends & proceeds) for shareholders

Delivered 14% spread above the NSE 20 Index

Delivery of a positive return in a bearish market environment attributed to:

1. Efficient diversification within the QPE portfolio

2. Active portfolio management

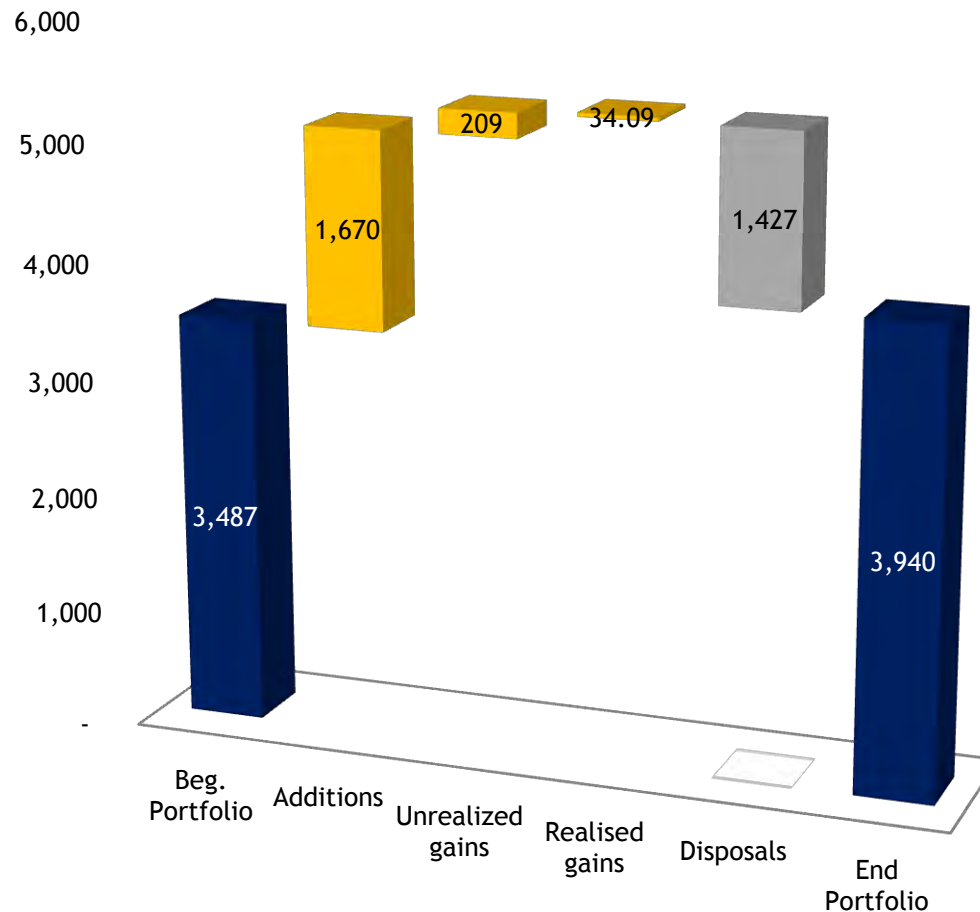


Year	QPE Net Return	NSE 20 Return	Spread
2010	50%	43%	7%
2011	9%	-5%	14%
Average	30%	19%	10%

Contributed to growth in tangible shareholder wealth

*AUM grew from
Kshs3.5Bn to
Kshs3.9Bn*

*An important
market player -
judging by the
large scale of
investment
activities*



QPE 2012 Outlook

To acquire influential stakes in African Stock Exchanges to fill an existing capital gap

1 Operating environment



- Sub-Saharan Africa (SSA) remains as our chosen target market

2 Countries/ Markets



- African markets characterized by low liquidity
- Looking to fill the resultant existing capital gap in these markets.

3 Sectors



- We have already built a strong deal pipeline of opportunities and networks across various sectors in the target markets

QPE 2012 Outlook

To drive growth in investment income through bold calculated risks and new income lines

4 Equities



- Equities will continue to enjoy a higher capital allocation

5 Fixed income securities



- To gradually increase allocation to fixed income securities in hunt for a higher proportion of stable income

6 New income streams



- We plan to reinforce our investment income by adding new innovative income streams.

Thank You



Q & A

